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Mamdani's City Run Grocery Stores And Their Potential Market Impact

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New York City Mayor Zohran Mamdani's \$124.7 billion budget includes one of the city's most unusual experiments in recent memory: five city-run grocery stores that will sell staple foods at a 30% discount. Supporters see a targeted affordability measure, while economists warn the model could reshape pricing, competition and the small-business ecosystem that keeps food accessible in many neighborhoods. As the first store moves toward opening, the question is whether this intervention will expand access or introduce new market pressures.

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By Nathan Goldman

What Mamdani's Grocery Plan Actually Builds

As part of Mamdani’s \$124.7 billion budget, starting this year, [New York City will build and open five stores](#), one per borough. The first will open in the Bronx by the end of 2027, and a second is planned for East Harlem’s La Marqueta market by 2029.

The main feature of these stores is that a core basket of goods — including produce, dairy, bread, select meat and seafood products and about 20 other staples — will be priced 30% below typical retail values. According to [The New York Times](#), these prices will stay locked in for a month, and non-core items will sell at a designated fair market value.

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These stores can offer prices at this level because they operate with a lower cost structure. Unlike bodegas, the city-run grocery stores will not pay rent or property taxes. Government-owned property is typically tax-exempt in the same way libraries, courthouses and DMVs do not pay property tax.

This foregone tax revenue creates an inherent cost advantage relative to other grocery providers. Still, the effect on the city's bottom line is real: The city must make up forgone revenue elsewhere or absorbed it as a cost.

The city is also [covering construction and buildout costs](#) via taxpayer dollars, meaning these stores will not face the same upfront capital costs as private competitors. And unlike other businesses that fail to generate profits and go bankrupt, any financial shortfalls from these stores will be absorbed by the city. This means New York City taxpayers will ultimately bear any losses.

State and local appropriations for a shared public good are not new. Airports, highways and parks are not typically built and owned by private businesses. Grocery stores do not require unusual upfront investment and can typically operate at a profit without government intervention. Conventional public economics suggests that the same logic of government intervention may not apply to grocery stores.

However, those in favor of Mamdani's plan argue that [food deserts represents their own kind of market failure](#). Private grocers underserve low-income neighborhoods because the margins don't justify staying open there. Whether that argument holds

There are several examples of city-owned grocery stores in the U.S. in recent years, according to [Modern Retail](#). In Baldwin, Florida, the town's only grocery store

closed, and the government built its own store so residents would not go without food. A similar story unfolded in Erie, Kansas. Both stores ceased operations in 2024 due to finances.

Other cities, including Chicago and Kansas City, have explored city-run grocery stores and either never launched or struggled. Analysts often point to basic economics — supply and demand in an industry with significant competition and razor-thin margins — as the core challenge. Whether New York City will be any different remains an open question.

The Key Economic Pressures To Watch

Among the chief concerns surrounding these stores is that the money must come from somewhere. For these stores, that source is New York City taxpayers — twice.

First, taxpayers will provide about [\\$70 million for the buildouts](#), with \$30 million alone going to the East Harlem store. The higher cost could be the ongoing expenses required to sell food at 30% under fair market value.

[Grocery stores typically operate](#) between 1% and 3% profit margins on goods sold. Even eliminating profit margins, rent and property taxes entirely likely will not cover a 30% price cut on its own. These potential ongoing operating losses, which would otherwise bankrupt a business, will instead be absorbed by the city. For the average New Yorker, these operating costs may appear in the form of higher property taxes or income taxes. Thus, New York City taxpayers may see the costs on two fronts.

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By Nathan Goldman

unlikely to go elsewhere and pay more. Basic economic theory suggests that when a

competitor does not have to cover costs such as rent, property taxes or bankruptcy risk, it can sustain prices that competitors cannot match.

New York City has approximately 13,000 bodegas, and these are not typically characterized as lavish businesses with excess profits. They operate on very small margins, and many located near the proposed city-run grocery stores may face financial hardship if they need to lower prices to compete. If these stores go out of business, they could create food deserts, yielding the opposite effect of what was intended.

Third, and potentially most harmful, is what happens if those bodegas close. Basic economics suggests that as the supply of food via grocery stores diminishes, prices rise. Mamdani-backed grocery stores will offer cheaper prices than fair market value. However, if the fair market value of groceries rises due to bodegas closing, the 30% discount may not end up being a discount at all.

For example, if the fair market value for a gallon of milk is \$4, Mamdani's stores will sell it for \$2.80. However, if many bodegas close and the demand for milk rises, the remaining bodegas may increase the price of milk to \$6. In this case, Mamdani's stores will still offer the milk at a 30% discount. However, the discounted price (\$4.20) is now more than the original price without the city-run grocery stores.

Why The Concerns Might Be Overstated

Despite some of the economic concerns, there are reasons the stores could still be successful. First, it is unlikely that five stores among thousands of supermarket and bodega options in New York City will lead to economic ruin. If the lessons from other city-run stores are any indication, Mamdani's stores will likely carry lower-quality items and often run out of supply. Thus, these stores may not pose a credible threat to existing grocery markets.

meaning additional competition may not impact pricing as much as feared.

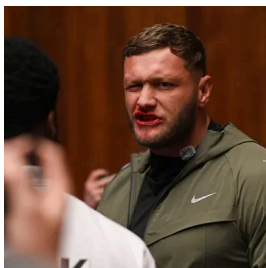
Third, the city-run grocery stores will not carry many products [important to bodegas](#), such as hot prepared food, alcohol and tobacco. These non-city-run grocery stores will retain some competitive advantage via differentiated products.

Mamdani's proposed city-owned grocery stores present an opportunity to test economic theories on competition and government intervention. While most conventional theories predict that these stores will not be as successful as hoped, this experiment has never been tried in a place like New York City, which has unique attributes.

Whether this program helps New Yorkers or quietly squeezes out the small businesses that have anchored neighborhoods for decades will depend on execution details that are still being written. It's worth watching closely as the first stores open.

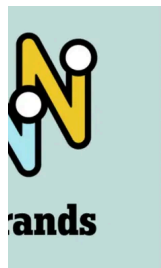
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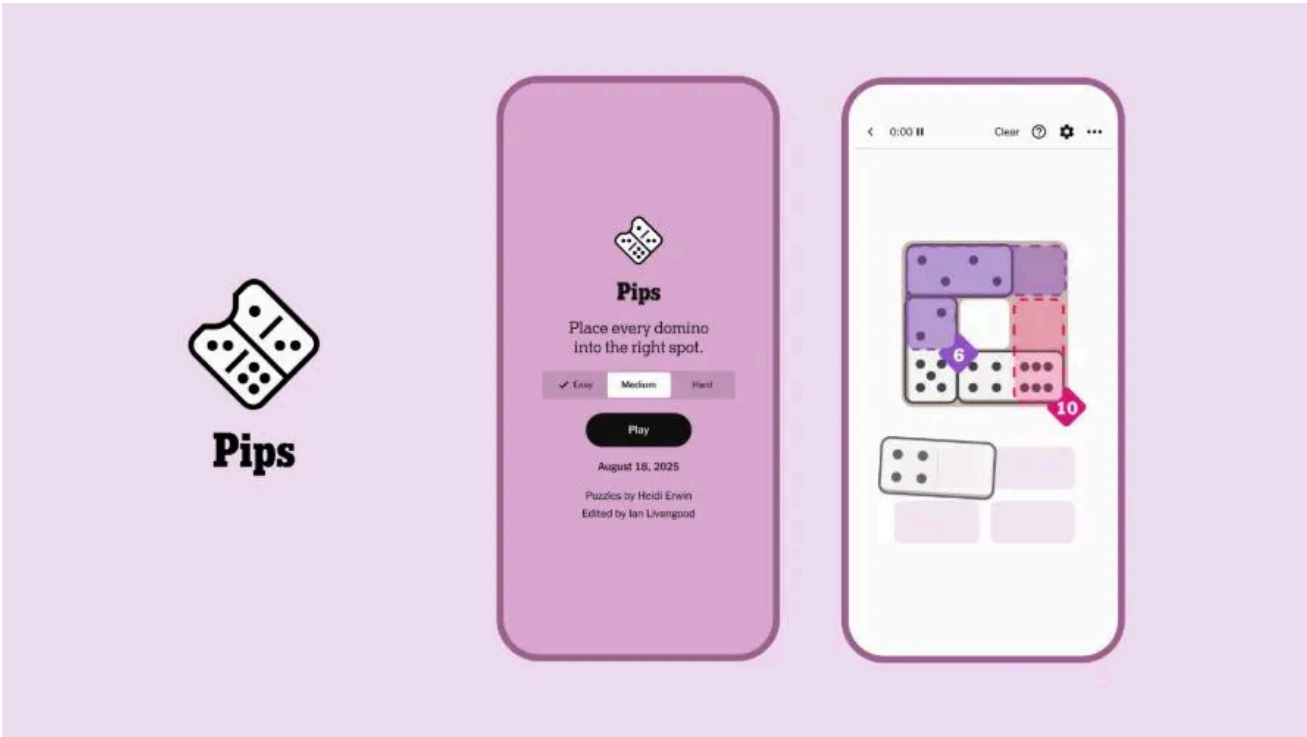


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